

portion of the market that is anxious for our next innovation.” This was something Gillette figured out early.

The focus on research and development also proved a tough moat for competitors to cross — even when it wasn’t first to the market. Gillette could use its own patent portfolio to cut out competitors’ blades. “For example,” Alejandro writes,

In 1962 Tiny Wilkinson Sword, Ltd., of London introduced a set of coated stainless steel blades with a lot of success. Users claimed that they could get at least a dozen smooth shaves from this product while they got only 3 or 4 from Gillette’s carbon steel blades.

Wilkinson’s blade could have seriously impacted Gillette’s dominant position. However, Gillette researchers had actually patented the stainless steel coating process before Wilkinson could obtain a patent. So Gillette received a royalty for each stainless blade sold by Wilkinson. This crippled Wilkinson.

A year after the ‘Wilkinson Shock’ Gillette introduced its own stainless steel blade in 1963. They priced it below Wilkinson and their American competitors. By doing this they would again essentially dominate the market and would launch yet another set of slightly improved blades a couple of years later.

Gillette was and is a great business. And yet. ...

Looking at the first couple of decades of Gillette as a public company, you’d be hard-pressed to find signs that it would one day be a 100-bagger.

In fact, for the first 20 years, the stock didn’t advance all that much. It went up about 40 percent. That’s it.

If you took all your dividends and reinvested them, you’d have had about \$340 for every \$100 you invested. That’s much better, but not so hot for two decades. That’s about 6.5 percent annualized — slow. Recall that even at a 10 percent annual return you’d need 48 years to turn a 100-bagger. Gillette’s pace was only two-thirds of that.

“This is despite its consistent net income growth during this period,” Alejandro points out. “The latter grew 3.5-fold.” Part of the reason is valuation. Gillette did not get the benefits of the “twin